When you're financially ready to buy a home, you should also avoid applying for new credit cards or incurring any other debt—like a car loan, student loan, or personal loan—in the months leading up to your mortgage application. Any new debt can throw off your score by affecting both your average length of credit history and recent inquiries, so try to avoid that double whammy at all costs. We've seen far too many people destroy their loan application with a large purchase right before closing. Wait until the house is yours before making any big purchases.

Stable Income

In order to access a mortgage loan, you will also need to show your lender that you have relatively stable income. Often, this means income from the same line of work that is visible for at least two consecutive years on your tax return.

While it's fine for an accountant to move from one company to another, that same accountant might have trouble qualifying for a home loan if they instead quit their job to pursue their lifelong dream of being a professional paint-color namer. A change in industry can be tricky, especially if it has happened within the last six to twelve months. (But who wouldn't want to come up with names for fifty different shades of white? Cream of the Crop, Alabaster Daisy, Don't Cry Over Spilled Milk…)

Self-employment and career changes are exciting, but lenders prefer boring. If you're thinking about buying a home and simultaneously making any big moves with your career or personal debt, it's best to have an ongoing relationship with your lender. While most people with standard W-2 jobs will commonly shop rates and go with whichever lender offers the lowest one, folks with unusual or irregular income may want to focus on working with lenders that are willing to work with their situation.

Understanding Debt-to-Income Ratio

One more thing a mortgage lender will look at is how your debt and income stack up against each other. Although income is important, it doesn't mean much to a lender if it's all eaten up by other loan payments.

Debt-to-income (DTI) ratio is calculated by dividing all minimum monthly debt payments by monthly gross income, and it offers a snapshot of the overall health of your finances. Note that this includes only *debt*